

SEC v. QuantumEdge AI

APEX Flash Crash · SEC, CFTC and DOJ investigation

PLATFORM	DOCUMENTS	DATE RANGE
Relativity	500 · 498 emails, 2 memos	January 1, 2023 – December 28, 2024

Training matter. The parties, events and documents are fictional and exist for AA Team review practice.

1 Matter overview

QuantumEdge AI's APEX trading algorithm entered a positive feedback loop on March 15, 2024, executing 847,000 sell orders in 23 minutes and causing a \$4.7 billion decline in market capitalisation. The SEC, the CFTC and the DOJ are investigating securities fraud, market manipulation, insider trading and failure to supervise. A class action by 14,847 investors claims \$2.1 billion.

The documents were collected from QuantumEdge AI. Technical material needs careful reading: the question that runs through the whole matter is what the company KNEW against what it DISCLOSED.

2 Parties and custodians

ROLE	NAME
CEO	Nathan Brock
CTO	Dr. Yael Cohen
General Counsel	Rebecca Moss
Chief Risk Officer	Diane Abara
Compliance Officer	Kevin Nash
Lead Engineer	Sofia Reyes

3 Coding fields on Relativity

These are the values the coding panel offers. Every document gets all five fields, and all five are graded.

FIELD	VALUES
Responsiveness	Responsive · Non-Responsive
Privilege	Not Privileged · ACP · ACP + WPP
Issues	Select every issue that applies
Production Action	Produce · Withhold
Confidentiality	Standard · Highly Confidential · Attorneys Eyes Only

4 How to code

IF THE DOCUMENT IS...	RESPONSIVENESS	PRIVILEGE	PRODUCTION ACTION	CONFIDENTIALITY
Not responsive to any request	Non-Responsive	Not Privileged	Withhold	Standard
Responsive, with no legal advice in it	Responsive	Not Privileged	Produce	Highly Confidential or Standard (see 8)
Responsive, and carries legal advice from counsel	Responsive	ACP	Withhold	Attorneys Eyes Only
Responsive, and counsel's advice or analysis was prepared because of the investigation or litigation	Responsive	ACP + WPP	Withhold	Attorneys Eyes Only

- Anything that is not going out is withheld, so a non-responsive document is withheld just as a privileged one is. It is the same rule on every platform in the AA Team program.
- Issues go on responsive documents only. A non-responsive document never carries an issue.
- Every privileged document is withheld and designated Attorneys Eyes Only. No exceptions in this matter.
- Needs Review, Work Product on its own, Escalate, Redact and Review Later are on the panel but are never the correct final call in this matter. If you are unsure, escalate (section 10); do not submit a placeholder.

5 Issue tags

#	ISSUE	DEFINITION	WHAT TO LOOK FOR
1	Securities Fraud	False or misleading statements to investors about APEX's safety.	Pitch decks and investor materials claiming working circuit breakers; the December 2023 report documenting the failure mode; kill-switch latency described inaccurately.
2	Market Manipulation	APEX's trading behaviour during the crash.	The 847,000 sell orders, about 40% of market volume; the position-limit override; the feedback loop that produced artificial prices.
3	Insider Trading	The CEO's trading ahead of the crash.	Applies narrowly: only documents bearing on the CEO's trades, or on what he knew before he made them (see the alert below).
4	Failure to Supervise	Inadequate controls over the algorithm.	The known circuit-breaker defect; the undocumented position-limit override; a kill switch overwhelmed at live trading speed.

6 Attorney and law-firm screen

A name on this list does not make a document privileged. It tells you to read closely for legal advice.

NAME	ROLE	FIRM / DOMAIN
Rebecca Moss	General Counsel, QuantumEdge AI	In-house
Amy Park	Outside counsel	Skadden · skadden.com
Carl Stein	Criminal defense attorney	steinlaw.com

7 Privilege

- Privilege requires legal advice from counsel. A lawyer's name on a document does not make it privileged.
- Engineering reports and internal memos are business documents. Not privileged.
- Forensic trading logs are factual records. Not privileged.
- Government documents, such as the SEC Wells Notice, are never privileged.
- The Wells Submission and SEC response strategy memos are ACP + WPP.
- Use ACP for advice given in the ordinary course, and ACP + WPP when counsel's advice or analysis was prepared because of the investigation. Most privileged documents in this matter are ACP + WPP.

8 Confidentiality

DESIGNATION	USE IT FOR
Attorneys Eyes Only	Every withheld privileged document.
Highly Confidential	Internal technical and trading material about APEX: performance reports, stress tests, override reconstructions and production logs. What clients and investors were told about APEX's specifications. Investor loss claims and other evidence of damages. Internal communications about the crash.
Standard	Routine recurring records, such as the monthly code reviews. Government documents, such as the SEC Wells Notice. Every non-responsive document.

These categories come from how the matter is graded. The call follows the content: not the custodian, and not how many issues a document hits.

9 Matter alerts

Insider trading timeline

Any document showing what the CEO knew before March 12 (the trade date) is critical for Issue 3. Reconstruct the sequence from the documents: March 8, the CRO's risk warning; March 8, the CEO dismisses it; March 12, the CEO sells \$6 million of stock and buys put options; March 15, the crash. The puts returned \$4.8 million.

10 Escalation and the QC standard

STEP	WHO	WHEN
1	Glory or Junior	Your first go-to for every question.
2	Zabron or Simon	If Glory and Junior are unavailable or need backup.
3	Aaron	If it is still unclear after steps 1 and 2.
4	PM / RM	If Aaron has no clear answer, or the question is client-level.

- Never guess silently on a gray area. While you wait for an answer, protect the document: treat it as privileged and do not release it.
- Ask a good question: the document ID; short context (who is writing to whom, about what); your lean and why; and what makes it difficult.

QC TRACK STANDARD	
Accuracy	Measured as defects per 1,000 documents. The target is zero. One defect per thousand still scores 95.
Pace	60 documents per hour, sustained, done properly.
Responsiveness	Reply to supervisor messages within 2 minutes while on shift.
The rule that outranks the others	Never trade privilege accuracy for speed.